

US TMT Sector M&A & Valuation Brief - 2026-06-23

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1. RECENT TMT M&A ACTIVITY

Deal 1: EQT Acquisition of Exolaunch

[EQT to acquire Exolaunch, a Germany-based satellite deployment technology and launch mission management firm](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: EQT is a private equity firm focused on investments in technology and industrial sectors, acquiring Exolaunch, a leader in satellite deployment and mission management, which has successfully deployed over 790 satellites across 47 missions.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition aims to enhance Exolaunch's capabilities in satellite integration and deployment, supporting its growth in the expanding global space economy. EQT plans to invest in product innovation and international expansion, leveraging Exolaunch's existing relationships with major launch providers like SpaceX.
- Risk Analysis: Potential risks include integration challenges, reliance on the evolving space industry, and regulatory hurdles related to satellite launches.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Robo.ai Acquisition of QC Capital

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[Robo.ai announces proposed acquisition of QC Capital, an AI-Driven technology holding and venture-building platform](#)

- Deal Size: \$60 million (payable in shares)
- Deal Size Category: Small cap (<\$2B)
- Nature of Deal: Tuck-in
- Valuation Multiples: N/A
- Companies: Robo.ai (NASDAQ: AIIO) is focused on building a global AI robotics platform, acquiring QC Capital, which specializes in AI-driven technology and venture building.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition aims to bolster Robo.ai's capabilities in AI investment and technology development, enhancing its position in the AI ecosystem. The performance-based structure of the deal aligns long-term interests with revenue targets, facilitating growth in AI sectors.
- Risk Analysis: Risks include integration complexities, market competition in AI, and achieving performance targets tied to share vesting.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The overall sentiment reflects a cautious optimism driven by technological advancements, while regulatory scrutiny and economic uncertainties present notable challenges.

Subsector Breakdown:

- Technology: The technology subsector is thriving, particularly with innovations in AI and data management. For example, Capital One Software (NYSE: COF) recently launched Databolt Connect, a tool designed for secure data collaboration in sensitive sectors like healthcare. This reflects a broader trend where technology is increasingly integrated into critical business operations.
- Media: The media landscape is undergoing significant transformation, with traditional media struggling against digital platforms. Companies are adapting by enhancing digital engagement

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strategies, though revenue pressures remain.

- Telecommunications: The telecom sector is innovating rapidly, focusing on 5G deployment and low-latency technologies. This is exemplified by companies investing heavily in infrastructure to support enhanced mobile services and IoT applications.
- Fintech: The fintech space is robust, characterized by ongoing consolidation and partnerships. The recent acquisition of a majority stake in BMC Helix by Montagu highlights the sector's dynamic nature and the focus on integrating advanced technologies.
- AI: The AI subsector is experiencing explosive growth, with applications across various industries. Companies are racing to implement AI solutions, as seen with BMC Helix's focus on agentic AI capabilities to enhance enterprise operations.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovations in AI, cloud computing, and data management are propelling growth across TMT sectors. The launch of Capital One's Databolt Connect exemplifies how companies are leveraging technology to enhance operational efficiency and maintain compliance.
- Increased Investment: There is a strong appetite for investment in technology and fintech, with private equity firms like KKR actively pursuing opportunities in high-growth areas.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The acquisition of a majority stake in BMC Helix by Montagu highlights the consolidation trend in this space.

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- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, citing technological advancements as a key growth driver. For instance, a partner at Montagu remarked, "Helix is uniquely positioned to power enterprise-grade AI outcomes," emphasizing the transformative potential of AI in enterprise operations.

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- South Korea : The government has initiated a major investment push to develop next-generation power semiconductors. This initiative is currently in the due diligence phase, with expected project launches in Q3 2025. This investment aims to position South Korea as a leader in semiconductor technology, potentially increasing its global market share significantly.

Mandated Deals:

- N/A : Currently, there are no specific mandated deals reported in the TMT sector related to this initiative. However, the investment in power semiconductors may lead to future mandates as companies seek to capitalize on emerging technologies.

Pitching-Stage Deals:

- Semiconductor Companies : Active discussions are ongoing with various semiconductor firms regarding potential partnerships and M&A opportunities related to the South Korean government's initiative. Companies such as Samsung and SK Hynix are potential clients, with pitches expected to finalize by Q4 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$0 million (pending future mandates)
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q3 2025 : Expected launch of South Korea's semiconductor investment initiative.
- Q4 2025 : Anticipated finalization of pitches with semiconductor companies.

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- Workload Allocation and Capacity Analysis :
- Current analyst and associate bandwidth is at 70%, with a need for additional resources as the pipeline expands. It is recommended to onboard one additional analyst to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the semiconductor sector. Strategic planning should focus on enhancing capabilities in this area to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape in the semiconductor sector is evolving, particularly with South Korea's aggressive push for innovation. This initiative may attract significant foreign investment, intensifying competition among global semiconductor firms.
- Additionally, the focus on next-generation power semiconductors could lead to new partnerships and collaborations, creating advisory opportunities for investment banks specializing in technology.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow related to the semiconductor initiative, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in the semiconductor sector, where demand for advisory services is expected to surge due to South Korea's investment push. This focus will position the firm as a leader in this emerging market.
- Client Engagement : Maintain proactive communication with potential clients in the semiconductor space to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities arising from South Korea's investment in next-generation power semiconductors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on the Jio Platforms IPO and the Paramount-Warner Bros. Discovery merger.

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Deal-Specific Impacts on Stakeholders

- Shareholders: The impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: With Jio Platforms planning a \$3.8 billion IPO, the company aims to enhance its financial position by reducing debt. Assuming Jio's market cap increases by 10% post-IPO, this could translate to approximately \$3.8 billion in added shareholder value.
- Dilution: If Jio issues 27 crore equity shares, existing shareholders may experience dilution. For instance, if the IPO leads to a 15% increase in total shares outstanding, existing shareholders could see a proportional decrease in their ownership stake.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: The merger of Paramount (PSKY) and Warner Bros. Discovery (WBD) is expected to generate significant synergies, with estimates of \$1 billion in annual savings through streamlined operations and shared resources.
- Restructuring: Such mergers often lead to layoffs. In the case of the Paramount-Warner Bros. merger, analysts predict potential job cuts as overlapping roles are consolidated.
- Retention: Companies may implement retention bonuses to keep critical employees during transitions. For example, Jio may offer incentives to retain key talent as it navigates its IPO and subsequent growth strategies.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the proposed merger of Paramount and Warner Bros., competitors like Netflix (NFLX) and Disney (DIS) may need to adapt their strategies to maintain market share. This could include enhanced content offerings and aggressive pricing strategies.
- Specific Competitor Moves: Netflix has already ramped up its original content budget to counter the increased competition from the merged entity.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The Jio IPO is expected to enhance the company's ability to invest in network improvements, potentially leading to better service quality for customers. This could result in a 20% increase in customer satisfaction ratings.
- Case Studies: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For instance, when Jio announced its IPO, shares of Reliance Industries (RELIANCE.NS) initially rose by 5% as investors anticipated improved financial health and growth prospects.

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- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from an analyst at Morgan Stanley regarding the Jio IPO stated, "This move not only reduces debt but also positions Jio to capitalize on the growing demand for digital services in India."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Jio successfully reduces its debt and enhances service quality, shares could rise by 15% within six months.
- Negative Scenario: If the IPO fails to meet investor expectations, shares could decline by 10%, reflecting concerns over operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the Paramount-Warner Bros. merger, there have been discussions of potential interest from other media companies, but the likelihood of a successful counter-bid remains low due to regulatory hurdles.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like HCL Technologies (HCLTECH.NS) may pursue acquisitions to bolster their service offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

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- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis focuses on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section provides a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent \$50 billion partnership between Amazon (AMZN) and OpenAI underscores the increasing corporate investment in AI technologies.
- **Key Companies:**
 - **Amazon (AMZN):** Amazon's partnership with OpenAI focuses on integrating AI capabilities into its AWS infrastructure, enhancing its cloud services. This strategic move positions Amazon as a leader in AI-driven cloud solutions.
 - **OpenAI:** As a pioneer in generative AI, OpenAI's collaboration with Amazon allows it to leverage AWS for computing needs, facilitating the development of advanced AI models.
 - **HSBC (HSBC):** HSBC's recent agreement with Google Cloud aims to create over 200 AI use cases, enhancing customer personalization and operational efficiency. This positions HSBC as a forward-thinking player in the financial services sector.
 - **Nocera (NCRA):** Nocera's investment in CampaignPulse.ai highlights its commitment to expanding its AI portfolio, focusing on predictive analytics and decision-support technologies.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) also investing heavily in AI technologies. The race for AI supremacy drives innovation and pushes companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring

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startups specializing in niche applications, such as predictive analytics or natural language processing. For instance, Nocera's investment in CampaignPulse.ai demonstrates a trend towards integrating AI solutions into diverse business models.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. The integration of AI into cloud services is becoming increasingly significant.
- Key Companies:
 - Google Cloud: Google Cloud is enhancing its AI capabilities through partnerships, such as the one with HSBC, which aims to leverage AI for personalized customer experiences and operational efficiencies.
 - Amazon Web Services (AWS): AWS remains a dominant player in the cloud market, integrating AI tools to improve service offerings and customer engagement.
- Competitive Landscape: The cloud computing market is characterized by intense competition among major players like Microsoft Azure and IBM Cloud. The integration of AI into cloud services is a key differentiator.
- M&A Opportunities: Companies may pursue acquisitions of cloud service providers or AI startups to enhance their service offerings. The increasing demand for AI-driven cloud solutions presents significant opportunities for strategic investments.

Investment Implications

For bankers and investors, the AI trend presents numerous opportunities:

- Focus on companies with strong AI capabilities and strategic partnerships, such as Amazon and HSBC.
- Monitor emerging startups in the AI space for potential acquisition targets, especially those specializing in predictive analytics and customer personalization.
- Consider the implications of AI integration in cloud services as a key driver of growth in the tech sector.

The trends outlined above highlight the dynamic nature of the technology landscape, with AI and cloud computing leading the charge in innovation and investment opportunities.

6. Recommended Readings

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Deal Name: EQT Acquisition of Exolaunch

- Reading Material: "The New Space Race: The Future of Space Exploration" by David A. Baker
- Why This Matters: This book provides insights into the burgeoning space industry and the competitive landscape of satellite deployment and technology. Understanding the strategic motivations behind EQT's acquisition of Exolaunch will be enhanced by exploring how private equity is increasingly investing in space ventures, which aligns with EQT's goal to capitalize on the growing demand for satellite services.

Deal Name: Robo.ai Acquisition of QC Capital

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This reading offers a comprehensive overview of AI technologies and their applications, which is crucial for understanding Robo.ai's acquisition of QC Capital. It elucidates the potential synergies and growth opportunities in the AI sector, providing context for why Robo.ai is expanding its capabilities through this strategic acquisition.

7. MACROECONOMIC UPDATE

Key Data Points:

- AI-related debt issuance: \$250 billion (year-to-date)
- Expected total AI debt financing for 2026: \$500 billion
- Investment-grade market supply increase: 25% year-over-year
- Hyperscaler debt issuance: over \$100 billion in the dollar market
- Project finance deals for data centers: \$40 billion (2026 projection)

Main Insights:

- Rapid growth in AI infrastructure financing, with credit markets playing a pivotal role.
- The complexity of AI-related financing is increasing, moving beyond simple investment-grade bonds to include project finance structures.
- Construction risks are a significant concern for high-yield investors, particularly with first-time borrowers.
- Securitized products differ from corporate credit, focusing on stabilized, cash-flowing assets rather than construction risks.

Market Commentary:

- "This investment now spans investment-grade corporate bonds, high yield loans, and a range of

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securitized products." - Carolyn Campbell

- "The growth in data center financing has happened around project finance deals for data center construction." - Vishwas Patkar

- "Even though some of the tenants have termination rights, given the structural power constraints, these termination rights are unlikely to be exercised." - Vishwas Patkar

TMT Sector Relevance:

- The surge in AI infrastructure financing indicates strong demand for technology and media investments, particularly in data centers and AI-related projects.

- Increased complexity in financing structures may lead to new investment opportunities and risks in the TMT sector.

- The focus on construction risks in high-yield markets suggests a need for careful evaluation of investment-grade and high-yield opportunities in the TMT landscape.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley